COMPLAINTAI-BANK

FRAUD, UNAUTHORIZED TRANSACTIONS AND DISPUTES POLICY

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Policy Category: Fraud, Unauthorized Transactions and Disputes

1. Purpose

Objectives

This policy establishes a consistent process for identifying, reporting, recording, assessing, investigating, and resolving suspected fraud and unauthorized transactions. It aims to reduce avoidable harm, support timely protective action, preserve relevant evidence, and ensure that decisions are based on verified transaction information rather than assumptions.

The policy distinguishes between a report of suspected fraud, a request to block or secure a payment instrument, a formal transaction dispute, and a confirmed finding. These stages must not be treated as interchangeable. Reporting an incident initiates review; it does not, by itself, prove fraud, guarantee reimbursement, or determine liability.

All customer communications should prioritize immediate safety and provide clear next steps. Staff and automated systems must avoid blaming the customer, making unsupported promises, or disclosing investigation information that is not authorized for release.

2. Scope

Cases covered

This policy applies to suspected or reported unauthorized card transactions, account withdrawals, digital banking access, payment transfers, compromised card details, lost or stolen cards, credential theft, social engineering, phishing, impersonation, suspicious merchant activity, duplicate or altered transactions, and transaction disputes connected to suspected misuse.

It also covers the intake and classification of reports, protective requests, evidence collection, investigation coordination, customer updates, temporary credits or reversals where applicable, final decisions, escalation, and closure of the case.

Ordinary service issues that do not involve suspected fraud—such as a general request for information or a non-suspicious payment delay—may be handled under the relevant service or transfer policy. If new facts indicate possible unauthorized activity, the case should be reassessed under this policy.

3. Definitions

Key terms

Fraud: Suspected or established deceptive conduct intended to obtain money, information, access, or another benefit improperly.

Unauthorized Transaction: A transaction the customer states they did not initiate, approve, or permit, subject to review under the applicable agreement and rules.

Suspected Fraud Report: A notification describing activity that may involve deception, theft, impersonation, credential compromise, or other misuse.

Compromised Credential: A password, PIN, one-time passcode, card detail, authentication token, or other security information believed to be exposed or misused.

Social Engineering: Manipulation that persuades a person to reveal information, approve an action, install software, or transfer funds under misleading pretences.

Phishing: A deceptive communication or website intended to obtain confidential information or induce an unsafe action.

Transaction Dispute: A formal request to review a transaction because it is alleged to be unauthorized, inaccurate, duplicated, incorrectly processed, or inconsistent with the agreed transaction.

Protective Action: A step such as blocking a card, disabling a credential, restricting access, or requesting a payment review to reduce potential further harm.

Case Reference: A unique identifier assigned to a successfully recorded fraud report or dispute.

Confirmed Outcome: A decision recorded by the responsible investigation process after reviewing the available evidence and applicable requirements.

4. Immediate Customer Actions

4.1 Suspected unauthorized activity

Customers who identify a transaction they do not recognize should report it promptly through an authorized security or customer-support channel. They should provide the transaction date, amount, currency, merchant or recipient description, and reference number where available.

Where a card may be lost, stolen, or compromised, the customer should request an appropriate block or cancellation without waiting for the transaction investigation to finish. If digital banking credentials may have been exposed, the customer should use the authorized process to secure access and change affected credentials.

Customers should review recent activity for other unfamiliar transactions and report related entries together where possible. They should not delay an urgent protective request merely because some transaction details are unavailable.

4.2 Suspected scam or social engineering

If a customer has shared a one-time passcode, PIN, password, card security code, or remote-access permission with a person they now suspect is fraudulent, they should immediately contact the authorized security channel and explain what information or access may have been exposed.

If funds have been transferred, the customer should provide the transfer reference, amount, date and time, recipient details available to them, and the circumstances of the instruction. A request to attempt recovery must be recorded and handled through the applicable process; recovery must not be promised.

Customers should stop interacting with suspected scammers, avoid sending additional funds to recover an earlier payment, preserve relevant communications, and avoid deleting messages or transaction evidence that may assist the investigation.

4.3 Safety of communications

Customers should not disclose passwords, PINs, CVVs, full one-time passcodes, or authentication secrets in a complaint form or ordinary support conversation. A case handler may request transaction-identifying details or supporting documents but must not request confidential authentication credentials.

Where a customer is in immediate danger or reports a crime requiring urgent public-safety assistance, they should contact the appropriate emergency or law-enforcement service in addition to reporting the financial incident through the authorized channel.

5. Reporting Channels and Intake Requirements

5.1 Authorized reporting

Reports should be submitted through approved card-blocking, digital-security, customer-support, transfer-support, or formal complaint channels. The channel used should match the urgency and type of incident. A general enquiry channel must not be represented as an emergency fraud hotline unless it is designated for that purpose.

If the customer cannot access the usual digital channel because credentials or a device may be compromised, the customer should be directed to an alternative authorized channel that permits identity verification.

5.2 Minimum information for a report

A report should capture, where available:

• 1. Customer identification sufficient for the authorized verification process. • 2. Date, time, amount, currency, and type of suspected transaction. • 3. Merchant, recipient, ATM, device, or channel information relevant to the incident. • 4. Transaction or transfer reference and the account or card service affected, using only the minimum necessary identifying details. • 5. Whether the customer still has the card or device and whether credentials may have been shared. • 6. When the customer first noticed the incident and any protective steps already taken. • 7. Relevant evidence, such as receipts, messages, emails, screenshots, or merchant correspondence, where safe and appropriate. Missing information should be recorded as unavailable rather than guessed. The report should still be registered where the process permits and enough information exists to create a useful case record.

5.3 Verification and intake safeguards

Identity verification must follow the authorized process and should be proportionate to the requested action. Verification must not rely solely on information that may have been exposed in the suspected incident.

Intake personnel should distinguish the customer's statements from verified system records. They should record the customer's description accurately, avoid prematurely labelling the claim as proven fraud, and identify any urgent protective action that remains outstanding.

6. Protective Measures and Risk Containment

6.1 Card and credential protection

Depending on the circumstances and available controls, protective measures may include blocking or cancelling a card, disabling a compromised credential, ending active sessions, resetting access credentials, removing a payment token, or arranging replacement of a payment instrument.

The selected action should match the suspected exposure. A card block may not secure a compromised online-banking password, and changing a password may not stop transactions initiated through a compromised card. Where several credentials or channels may be affected, each should be assessed.

Customers should be informed of the practical effect of a block or reset, including whether legitimate payments, recurring transactions, wallet tokens, or access to services may be interrupted.

6.2 Transfers and payment recovery requests

When a customer reports a suspicious or mistakenly authorized transfer, the report should be escalated through the applicable payment investigation or recovery process as promptly as practicable. Relevant details should be captured to identify the transaction and recipient.

A recovery request does not guarantee that funds can be recalled. The result may depend on the payment status, receiving institution or recipient, available funds, processing rules, timing, and applicable legal requirements. The case record must distinguish between a request sent, a response received, funds recovered, and a final resolution.

Any statement that a payment has been stopped, recalled, frozen, or recovered must be supported by confirmation from the responsible process.

6.3 Temporary restrictions and review

Temporary restrictions may be considered where necessary to protect the customer, prevent further suspected misuse, or complete required checks, subject to applicable authority and procedures.

Restrictions should be limited to the scope reasonably required by the circumstances and reviewed through the authorized process. The existence of a restriction is not a finding that the customer committed wrongdoing.

Where details cannot be disclosed for security, legal, or investigation reasons, the customer should receive the information that can appropriately be shared and clear instructions for any action required from them.

7. Investigation and Evidence Assessment

7.1 Initial assessment

The responsible team should assess the incident type, affected payment instrument or channel, transaction status, potential ongoing exposure, and whether additional protective measures are needed. Reports involving ongoing unauthorized activity, exposed credentials, or continuing loss should receive prompt attention according to the applicable incident process.

The initial assessment should determine whether the matter is primarily a card dispute, account transaction dispute, transfer issue, digital-access incident, suspected scam, or a combination of these. Related issues may require coordinated handling while retaining a clear record of each affected transaction.

7.2 Evidence sources

Depending on the case, evidence may include transaction authorization and posting records, timestamps, authentication events, device or session information available to the authorized team, merchant details, transfer references, customer correspondence, receipts, screenshots, and relevant service logs.

Evidence should be relevant to the question being investigated and handled under applicable access and privacy controls. The absence of one particular evidence item should not automatically determine the outcome without considering the complete available record and applicable requirements.

7.3 Customer statement and transaction facts

The investigation should compare the customer's account of events with available records, including whether the transaction was authorized, how it was authenticated, whether the amount and recipient match the instruction, and whether the transaction was processed correctly.

Authentication records may be relevant, but their existence should not be described as conclusive proof of customer authorization without considering the circumstances and applicable rules. Similarly, a customer's unfamiliarity with a merchant descriptor should be explored before a final conclusion is reached.

7.4 Additional information requests

If essential details are missing, the responsible team may request specific information or documents and explain why they are needed where appropriate. Requests should be limited to relevant information and should not ask customers to provide passwords, PINs, CVVs, or one-time passcodes.

The case record should document the information requested, the date of the request, the response received, and any effect on the investigation. If the customer cannot provide a requested item, the team should assess the remaining evidence under the applicable process rather than automatically inventing or assuming missing facts.

8. Transaction Disputes and Possible Outcomes

8.1 Types of dispute

Disputes may concern transactions the customer says they did not authorize, transactions processed for an incorrect amount, duplicate postings, cash not dispensed by an ATM, payments for cancelled orders, refunds not received, or other processing errors.

Each claim should be assessed under the relevant product terms, payment rules, and evidence. A merchant disagreement about quality or delivery may require different evidence from a claim that the cardholder did not authorize a transaction.

8.2 Possible outcomes

Following review, the responsible process may determine that a transaction should be corrected, reversed, refunded, credited, further investigated, or treated as valid. The available outcomes depend on the facts, applicable rules, transaction status, and any required authorization.

Where evidence remains inconclusive, the case should record the limits of the available information and the basis for the decision permitted by the applicable process. The customer should receive an explanation to the extent it can be disclosed.

A provisional credit or temporary adjustment must be identified as provisional when that is its actual status. It must not be presented as a final refund or permanent resolution until confirmed.

8.3 Refunds and reversals

A merchant refund, transaction reversal, chargeback-related credit, and correction of an account error are not necessarily the same process. The case handler should identify which process applies and avoid promising a specific completion date unless supported by confirmed rules or status information.

Customers should be told whether the refund or adjustment has merely been requested, is being processed, has been posted, or has been declined. If a refund is not visible, the customer may be asked for the original transaction reference and evidence of the refund confirmation.

8.4 Decision communication

The outcome notice should state the decision, relevant transaction or case reference, any adjustment actually completed, and any further action available to the customer. It should avoid disclosing confidential security controls or information about another person.

Where the claim is not upheld, the explanation should be factual and based on the applicable review. The communication should identify any authorized escalation route without suggesting that an escalation guarantees a different result.

9. Customer Responsibilities and Cooperation

Customer responsibilities

Customers are expected to:

• 1. Report suspected unauthorized activity promptly after becoming aware of it. • 2. Request appropriate card blocks or credential protection when exposure is suspected. • 3. Provide accurate transaction details and describe the circumstances honestly. • 4. Preserve relevant receipts, messages, emails, screenshots, and case references where safe. • 5. Respond to reasonable, relevant information requests through authorized channels. • 6. Avoid sharing authentication credentials with support personnel or in complaint records. • 7. Inform the responsible team if new suspicious transactions occur while the case is open. • 8. Follow authorized instructions for securing devices, credentials, cards, and linked services. • 9. Retain complaint confirmations and final decision communications. • 10. Avoid making duplicate reports for the same incident unless necessary to report new activity or correct important missing information.

10. Internal Case Management and Escalation

10.1 Case registration

Every successfully recorded report should receive a unique case or complaint reference. The record should include the time received, channel, incident description, affected service, known transaction references, immediate protective steps, evidence received, and current status.

The case record should distinguish confirmed facts, customer-reported information, system observations, and unresolved questions. Updates should be time-stamped and attributed to the responsible process or authorized user.

10.2 Classification and assignment

Cases should be categorized according to the suspected incident type and assigned to an authorized team with the appropriate responsibility and access. Cases involving multiple channels or related transactions may require coordination between security, card operations, transfer investigations, digital access support, or complaint resolution functions.

Assignment to a team does not mean that the team has accepted a finding of fraud or guaranteed a specific outcome. The case status should reflect the actual stage of handling.

10.3 Urgency and escalation

Urgency should consider whether suspicious activity is ongoing, credentials remain exposed, additional transactions may occur, a payment may still be recoverable, or the customer is unable to secure the affected service.

Cases should be escalated through the applicable urgent or specialist process when the risk or complexity requires it. Any priority labels used internally should not be presented as an official service commitment unless the applicable procedure defines that commitment.

Where a response or action is delayed, the record should capture the current status, outstanding dependency, and next action. A customer must not be told that an escalation or external contact occurred unless the action was actually completed.

10.4 Closure criteria

A case may be closed when the required investigation and authorized decision are complete, the outcome has been recorded, required customer communication has been issued, and any follow-up obligations have been identified.

If the case is closed while a separate obligation remains open, that limitation should be recorded clearly. Reopening or linking a case should follow the applicable process when new evidence or related activity arises.

11. Communication, Confidentiality and Data Protection

11.1 Customer communications

Communications should use clear, respectful language and separate confirmed facts from estimates or unresolved issues. They should state the case reference, current stage, any information required from the customer, and the next step that can be confirmed.

Staff and automated systems must not guarantee reimbursement, fund recovery, a specific decision, or a resolution deadline unless that commitment is explicitly supported by the applicable rules and confirmed case status.

11.2 Confidentiality and access control

Personal, account, card, device, transaction, and investigation information should be accessed only for authorized purposes. Access should be restricted according to role and operational need, and information should be protected against unauthorized disclosure, alteration, loss, or misuse.

Investigation details, internal risk signals, security methods, and information about other customers should not be disclosed unless permitted by applicable requirements. Only the minimum information necessary for a particular task should be shared.

11.3 Retention and audit trail

Reports, supporting evidence, investigation notes, decisions, communications, and adjustments should be retained according to applicable legal, regulatory, contractual, and organizational requirements.

Records should preserve an appropriate audit trail of material changes and actions. Sensitive authentication secrets must not be stored in the case file. Any correction to a case record should be made in a controlled manner that preserves accountability.

12. Policy Interpretation and Review

12.1 Application of requirements

Specific reporting deadlines, liability allocation, reimbursement eligibility, dispute windows, evidence requirements, and response times must be determined from the applicable product terms, transaction rules, and authorized procedures. This policy does not create a universal deadline or guarantee a particular result for every case.

If a detail is not established by the available policy documents, it must not be invented or presented as confirmed. The case should be referred to an authorized team or source for clarification.

12.2 Review and maintenance

This policy should be reviewed when fraud-reporting channels, payment products, security controls, dispute processes, legal requirements, or data-handling practices change. Revisions should maintain consistent terminology and clear version control.

Any additional procedures created for the ComPlaintAI-Bank project must be distinguished from actions performed by a real service provider. A system may confirm that a report was recorded in its own case database only after the save succeeds; it must not claim that an external card was blocked, a payment recalled, or a case escalated unless an authorized integration confirms the action.

Related policies

This policy should be read alongside the Account Management and Banking Services Policy; Debit and Credit Card Services Policy; Fund Transfers, Remittances and Refunds Policy; Banking Fees, Charges and Interest Policy; Digital Banking and Authentication Policy; Customer Complaint Registration and Resolution Policy; and Complaint Priority, Department Routing and Data Privacy Policy.

End of Policy